

## REM2 Research Methods

### Exercise 2 – 2: Climate risk in mortgage markets<sup>1</sup>

1. Download and install Endnote from DLE Intranet. Note that you need to log in with your Raven password in order to see prices (which is free).  
<https://cambridge.store.academia.co.uk/software/endnote.html>
2. Create a new Endnote file on your computer
3. Open the Web of Science (WoS) database. Note that you may need to use Cambridge VPN to access this database when away from Cambridge.  
<https://www-webofscience-com.ezp.lib.cam.ac.uk/wos/woscc/basic-search>
4. Use the basic search to find the paper.  
Gete, P., et al. (2024). "Climate risk in mortgage markets: Evidence from Hurricanes Harvey and Irma." *Real Estate Economics* 52(3): 660-686.
5. Export the citation of this paper to your new Endnote file. Make sure you include abstracts in the export.
6. Download the pdf version of the paper from WoS, and add it to the Endnote entry.
7. Export papers cited by this paper to your new Endnote file. Make sure you include abstracts in the export. Create a Group called 'Cited paper' and put these papers in that group.
8. Go back to WoS search result page. Sort cited paper by Citations (highest first). Locate the most relevant paper (i.e., Do managers overreact to salient risks? Evidence from hurricane strikes, by Dessaint and Matray, 2017). Check the journal's ranking. Is this a good journal?
9. Check the papers cited in Dessaint and Matray (2017). Sort them by publication dates. Select five most relevant publications of your choice, and save them to the marked list.

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<sup>1</sup> Source: Gete, P., et al. (2024). "Climate risk in mortgage markets: Evidence from Hurricanes Harvey and Irma." *Real Estate Economics* 52(3): 660-686.

10. Next, sort the papers cited papers Dessaint and Matray (2017) by citation counts. Select five most relevant publications of your choice, and save them to the marked list.
11. Export papers in the marked list to Endnote. Make sure you include abstracts in the export. Create a new group named “Relevant References” for this set of papers.
12. Create a new Word document. Copy and paste the following text to the document. Save the file in your computer.

*Our article is novel in analyzing how hurricane-induced default risk translates into market-based mortgage pricing. Our results show that existing mortgage rates in the United States do not reflect the climate risks that markets would price. This result brings a different risk dimension to (Hurst et al., 2016), who show that lack of risk-based pricing provides insurance across locations.*

*Another contribution of this article is to accurately estimate the increase in mortgage default probabilities caused by hurricanes. We show additional evidence of the effects of natural disasters on loan defaults (see, e.g., Kousky, Kunreuther, et al., 2020; Kousky, Palim, et al., 2020; Rossi, 2021).*

*This article also contributes to the housing finance literature. We contribute to this literature by estimating the differences between market-based pricing and GSE statutory g-fees. Pavlov et al. (2021) and Stanton and Wallace (2011) study how mortgage credit risk was not reflected in the prices of credit default swaps during the 2008 financial crisis, pointing out the failure of transferring credit risk to the market.*

13. Use Endnote to create a reference list for these paragraphs.